

Roof Lifecycle Cost Analysis

Planned maintenance is projected to save the owner of a typical San Antonio warehouse **\$2.35M** over the next 20 years.

That is 61.3% less than the reactive cost, or \$1.02M in today's dollars. It compares PaxSeal planned maintenance with fixing problems only after they leak, using San Antonio costs and storm history.

MARKET	PROPERTY	ROOF AREA	SYSTEM	AGE	NEW ROOF TODAY
San Antonio	Warehouse	100,000 sq ft	TPO	8 yrs Good	\$1.35M

PAXSEAL NET COST \$1.49M \$2.98M spent, less \$1.49M roof life left	REACTIVE NET COST \$3.84M \$4.06M spent, less \$221K roof life left	VALUE PROTECTED \$822K \$62K/yr more NOI at a 7.5% cap rate	NEW ROOF PRICE 2× in 15 yrs \$1.35M today, \$3.32M by year 20
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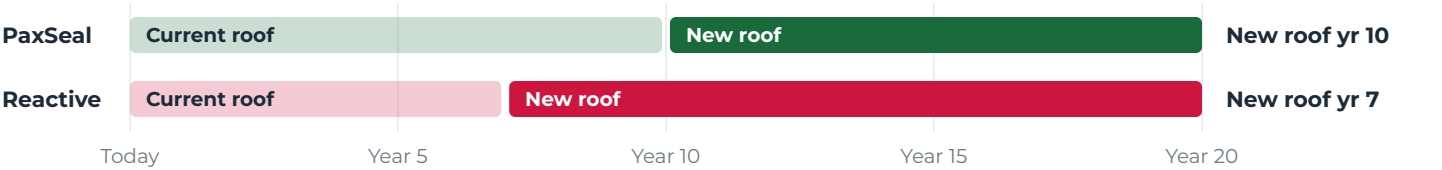
Cumulative roof spending, next 20 years

Nominal dollars. Vertical jumps are full roof replacements.



Roof life

When each scenario needs a new roof.



Where the savings come from

20-year totals

	PAXSEAL	REACTIVE	SAVINGS
PaxSeal program fees	\$371K	—	-\$371K
Repairs paid by owner	\$324K	\$1.96M	+\$1.63M
Expected storm damage	\$169K	\$254K	+\$85K
Roof replacements	\$2.12M	\$1.85M	-\$267K
Credit for roof life left	-\$1.49M	-\$221K	+\$1.27M
Net 20-year cost	\$1.49M	\$3.84M	+\$2.35M

What this means

- 1 **A later replacement.** Maintenance moves the next new roof from year 7 to year 10, so fewer roofs are bought over the period.
- 2 **Smaller repairs.** Problems found on a scheduled visit avoid emergency work, which costs about 3× as much. That saves \$1.63M in repairs.
- 3 **The program pays for itself.** Each \$1 of PaxSeal fees returns about \$6.35 in avoided cost.

Local risk profile

Bexar County, TX (48029)

Hail and tornado

Baseball-size hail somewhere in Bexar County about once every 3 years (NOAA); April 2016 storm ≈ \$1.4B damage. Expected storm damage to this roof over 20 years is **\$169K** if maintained and **\$254K** if neglected. A documented maintenance history also helps when an insurer questions a claim.

Hail	Very High	■■■■■
Strong wind	High	■■■■■
Tornado	Very High	■■■■■
Hurricane	Moderate	■■■■■
Winter weather	High	■■■■■
Ice storm	Moderate	■■■■■

FEMA National Risk Index rating

Key assumptions

Confidence reflects source strength. Values will be refined as research continues.

ASSUMPTION	VALUE	BASIS	CONFIDENCE
Roof life	20 / 15 yrs	Maintained / reactive. Fannie Mae service-life tables; +5 yrs from NRC Canada roof study and manufacturer warranty terms	MEDIUM
Roof cost growth	4.6%/yr	BLS Producer Price Index, nonresidential roofing contractors, 2007–2025	HIGH
Replacement cost	\$13.50/sq ft	San Antonio contractor price ranges	LOW
Reactive repair cost	3× planned	Industry estimates; no primary study found	LOW
Storm damage	0.38%/yr	Of roof cost. FEMA NRI expected annual building loss from hail, wind, tornado, hurricane and winter weather	MEDIUM
PaxSeal fee	\$13,800/yr	PAX program estimate for this roof size. Your proposal will state the actual fee	ESTIMATE
Cap rate	7.5%	Median of other markets until local data is added	LOW

Estimates, not a quote. Projections use San Antonio market research and industry data, in nominal dollars; actual costs will differ. The PaxSeal fee is an estimate and your proposal will state the actual price. Net cost credits the roof life remaining at year 20. Property value is the yearly gain in net operating income divided by the cap rate, and applies to income-producing property where the owner pays for the roof.